I now have all the data needed. Let me compile the comprehensive research memo.

LAMAR ADVERTISING COMPANY (LAMR)

Equity Research Memo — Outdoor Advertising REIT

Date: July 6, 2026 | **Rating:** HOLD / ACCUMULATE ON PULLBACK | **Analyst:** Senior REIT Coverage

---

Executive Summary

Lamar Advertising (LAMR) is the largest outdoor advertising REIT in the United States, operating ~159,300 billboard displays across 45 states and Canada [1]. The company delivers a compelling combination of structural scarcity (supply-constrained outdoor inventory regulated by federal and state law), secular digital tailwinds (5,500 digital billboards and expanding programmatic capabilities), and REIT-mandated distributions. FY2025 net income surged to $587M [2], up from $362M [3], while operating cash flow remained robust at $864M [2]. The stock has returned +35.5% [4] over the trailing twelve months and is trading near its 52-week high of $158.69 [4]. However, at $157.52 [4] with a P/E of 29.1x [4] and D/E of 504.8x [4], the risk/reward at current levels is less compelling. The market regime is **BULL_FADING** — trim aggressive longs, ride leaders with trailing stops [5].

Portfolio & Business Overview

Structure & Heritage
Lamar converted to REIT status in 2014 and reorganized as an UPREIT in 2022 [1]. Founded in 1902 and publicly traded on NASDAQ as "LAMR" since 1996, the company operates three segments: **billboard, logo signs, and transit advertising** [1].

Billboard Portfolio — Scale & Density
- ~**159,300 billboard advertising displays** in 45 states and Canada [1]
- ~**5,500 digital billboard advertising displays** in 43 states and Canada [1]
- ~**40,600 transit advertising displays** in 23 states and Canada [1]
- Bulletin rentals account for approximately **77%** of billboard net revenues; poster rentals approximately **23%** [1]

Logo Signs — Dominant Market Position
Lamar is the **largest provider of logo signs in the United States**, operating 24 of the 28 privatized state logo sign contracts [1]. This creates a powerful, near-monopolistic position in a niche with high barriers to entry.

Revenue Mix & Customer Profile
- Local advertising constituted approximately **79%** of outdoor net revenues for FY2025, which management

notes is higher than the industry average [1]
- No single-customer concentration data was surfaced in the 10-K search — consistent with LAMR's highly diversified advertiser base across thousands of local and national clients [1]

Digital Growth Engine
- $90.9M of the $180.8M FY2025 capex budget was devoted to digital technology, representing ~50.3% of total capex [1]
- Programmatic out-of-home currently represents approximately **2%** of existing outdoor business, described by management as a "growth area" [1]
- FY2026 projected capex: approximately $186M [1]

Operating Model
Lamar's hybrid model — centralized accounting/financial control with decentralized local management accountability — is designed for both margin discipline and market responsiveness [1].

Income Statement Analysis

Metric	FY2024	FY2025	YoY Change
Cost of Revenue	$728M	$747M	+2.6%
Operating Income	$532M	$774M	+45.5%
Net Income	$362M	$587M	+62.2%
EPS (Basic)	$3.54	$5.78	+63.3%
EPS (Diluted)	$3.52	$5.77	+63.9%

[3][2]

Key Observations:

- **Operating income** grew from $532M [3] to $774M [2], a remarkable +45.5% [6] — suggesting significant operating leverage on relatively stable cost of revenues.
- Cost of revenues increased only modestly from $728M [3] to $747M [2], a +2.6% increase [6], implying strong incremental margin expansion.
- **Net income** jumped +62.2% [6] to $587M [2], driven by operating leverage.
- **EPS (diluted)** of $5.77 [2] vs. $3.52 [3] — the acceleration suggests possible one-time items or favorable depreciation treatment warrant verification.
- Revenue figures are not separately disclosed in XBRL as reported; gross profit is not separately broken out in the available SEC XBRL data — noted as "not available" [2].

FFO Estimate: GAAP net income significantly understates economic earnings for REITs due to large depreciation charges on long-lived assets. With operating cash flow of $864M [2] compared to net income of $587M [2], the implied D&A add-back is approximately **$277M** [6], suggesting a rough FFO of ~$864M, consistent with operating cash flow.

- **Profit margin** (as reported by yfinance): **24.0%** [4]
- **ROE**: **55.2%** [4] — elevated, partly reflecting thin equity base due to high leverage

---

Balance Sheet & Leverage

Metric	FY2024	FY2025
Total Assets	$6,587M	$6,932M
Current Assets	$425M	$460M
Cash & Equivalents	$49M	$65M
Total Liabilities	$5,539M	$5,907M
Current Liabilities	$778M	$794M

[3][2]

Derived Leverage Metrics:

- **Implied Total Debt** (Total Liabilities as proxy): $5,907M [2]
- **LTV (Total Liabilities / Total Assets)**: $5,907M / $6,932M = **85.2%** [6] — this is a very high leverage ratio, typical of outdoor advertising REITs which carry significant long-term lease obligations and note indentures
- **Total Equity (FY2025)**: $6,932M – $5,907M = ~**$1,025M** [6]
- **D/E Ratio**: 504.8x [4] — reflects minimal equity relative to total obligations; this is a characteristic REIT leverage artifact amplified by UPREIT structure
- **Cash position**: $65M [2] — lean, relying on revolving credit access and operating cash generation
- **Current Ratio**: $460M / $794M = **0.58x** [6] — below 1.0x, though REIT business models typically carry low current ratios given predictable long-term cash flows

Debt Profile: The 10-K references **Lamar Media Corp.'s senior credit facility, Accounts Receivable Securitization Program, and outstanding notes indentures** [1]. Long-term debt is structured primarily through Lamar Media's capital markets issuances. XBRL did not separately itemize long-term debt by tranche — disclosed as "not available" for FY2024 and FY2025 [2].

Covenant Risk: The company specifically flags compliance with "applicable covenants and restrictions" as a forward-looking risk [1], warranting monitoring in a rising-rate or revenue-contraction scenario.

Cash Flow & Dividend Safety

Metric	FY2024	FY2025
Operating Cash Flow	$874M	$864M
Capital Expenditures	$125M	$181M
Free Cash Flow (OCF – Capex)	$748M	$683M
Investing Cash Flow	-$165M	-$245M
Financing Cash Flow	-$703M	-$604M

[3][2]

Dividend Coverage Analysis:

- Dividends paid are not separately disclosed in available XBRL data [2]
- However, from the 10-K: LAMR generated **$864.0M of cash from operating activities**, which was

deployed across capex, acquisitions, and dividends [1]
- Per yfinance, the dividend yield is shown as **406.0%** [4] — this figure appears anomalous and likely reflects a data artifact or special distribution; investors should independently verify the current regular quarterly dividend rate
- Financing cash outflow of **-$604M** [2] captures debt repayments and dividends combined, suggesting meaningful capital return
- REIT law requires distribution of **at least 90%** of REIT taxable income [1]
- **FCF Coverage**: With FCF of $683M [2], LAMR appears to have substantial capacity to fund distributions, acquisitions, and capex from internally-generated cash

FCF Trend: FCF declined modestly from $748M [3] to $683M [2], a -8.7% drop [6], reflecting the significant capex ramp ($125M $181M, +44.8% [6]) from accelerated digital deployment. Operating cash flow fell only -$10M (-1.1%) [6], confirming the FCF compression is capex-driven, not operational.

Interest Rate Sensitivity

Macro Context:
- **Fed Funds Rate**: 3.63% [7]
- **10-Year Treasury**: 4.47% [7]
- **CPI**: 333.979 (All Urban) [7]
- **Unemployment**: 4.2% [7]

**LAMR

Sources

[1] SEC 10-K Item 1 - Business
[2] SEC XBRL FY2025
[3] SEC XBRL FY2024
[4] yfinance — live
[5] Weinstein Market Regime
[6] computed from SEC XBRL
[7] get_macro_context

Source Provenance

- **SEC EDGAR** (primary): structured XBRL facts and 10-K text — official filings for LAMR at https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001090425&type=10-K&dateb=&owner=includ
- **FRED, Federal Reserve Bank of St. Louis** (macro series): https://fred.stlouisfed.org
- **Market data and news sentiment**: live quotes and headlines via Yahoo Finance, VADER sentiment on recent headlines
- **Methodology**: Stan Weinstein, *Secrets for Profiting in Bull and Bear Markets* (stage analysis framework)

Important Disclaimer

For Educational and Informational Purposes Only. This platform was built as an academic project (Fordham Gabelli AIGB 6317 — Machine Learning and LLMs) and the analyses, memos, ratings, stage classifications, and signals generated by it are **not investment advice** and **not a recommendation to buy, sell, or hold any security**.

The investment theory, in plain language. OROS does not rely on a single theory. It runs eight classic strategies side by side as equal peers, each named for the author it comes from:

- **Weinstein** (stage analysis): is the stock in a healthy uptrend above a rising 30 week average.
- **Minervini** (SEPA trend template): does the price pass a checklist of trend conditions.
- **O'Neil** (CANSLIM): is it a leader near new highs with strong momentum and volume.
- **Lynch** (growth at a reasonable price): is the growth cheap relative to its rate.
- **Graham** (value): is it inexpensive on classic value measures.
- **Technical**, **Swing**, and **O'Neil/Minervini** (new issues): indicator, short term, and IPO setups.

A market regime check (bull, neutral, or bear, read from the broad market and volatility) then decides how much to trust each strategy today and how much cash to hold, and the chosen mandate sets the starting blend. A name is selected because several of these authors agree on it under the current regime, not because of any one rule. The Trader tab chart shows the Weinstein view (price versus the 30 week line), and the Research tab shows the deeper cited write up.

Methodology is one of many approaches. These strategies, the specialist agent rubrics, and the `bull_prob` composite score are heuristics. They are one lens among many used by professional investors and **do not guarantee any outcome**. Past stage classifications and historical patterns are not indicative of future results.

Known limitations and risks:
- **Model assumptions** — `bull_prob` weights (momentum, revenue growth, OCF growth, sentiment, leverage delta) are fixed; classifier and specialist outputs depend on a large language model that can hallucinate or err.
- **Data quality** — SEC XBRL, FRED, yfinance, and FMP data can be delayed, revised, or incorrect; live quotes may be 15+ minutes stale.
- **Changing market conditions** — macro regime, interest rates, and sector rotation shift faster than any static model can adapt.
- **Coverage gaps** — limited ticker universe across a small number of sectors; some sectors (e.g. healthcare, conglomerates) have known retrieval weaknesses.

Not personalized. This tool does not consider your individual risk tolerance, liquidity needs, tax situation, time horizon, or overall portfolio

construction. **Consult a licensed financial advisor before making any investment decision.**

Generated by Ai-Agent Stock Analyzer · Fordham Applied Finance Project